According to World Health Organisation (WHO), "Globalisation, or the increased interconnectedness and interdependence of people and countries, is generally understood to include two interrelated elements: the opening of borders to increasingly fast flows of goods, services, finance, people and ideas across international borders; and the changes in institutional and policy regimes at the international and national levels that facilitate or promote such flows. It is recognized that Globalisation has both positive and negative impacts development". It is clear that WHO provides a holistic approach in defining the notion of Globalisation by embracing socio-economic and politico-technological paradigms.

Globalisation as a key element in the theory and practice of business posits a construct of connectivity across various spectra. The International Monetary Fund's (IMF) identification of the four basic tenets of Globalisation in 2002 subsided the ambiguities concerning the term to a large extent. They are as follows: trade and transactions, capital movements and investment, migration and movement of people and the spreading of knowledge.

Vectors of Globalisation

Globalisation as a process exhibits an array of patterns at various levels.

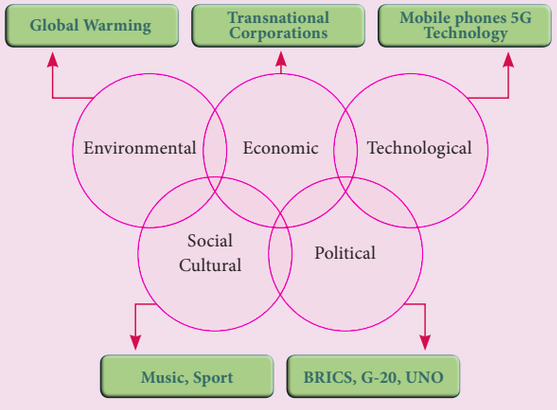
Economic Dimension

Basing free trade in its axis, there is no room for dubiety that this is the highest manifestation of Globalisation. It is evident that the process of economic Globalisation has in the recent past has been dominated by a group of developed countries like the US, Japan, China etc. Multinational corporations (MNCs) such as Google, Microsoft, Apple, McDonalds etc. and international Organisations like IMF and World Bank are at the forefront as the global market determinants. According to Bottery, economic Globalisation can be aptly expressed as the convergence of three different factors. They are as follows: 1) Increasing movement of capital around the world through information and technology. 2) The prevalence of supranational bodies such as the World Trade Organisation (WTO), the World Bank, and the IMF. 3) Increased influence of Transnational Companies (TNCs).

Activity

Make a copy of diagram. Complete it by adding two or three examples under each area.

Inter dependence and Globalisation



Cultural Dimension

Globalisation acts as an agent of transmission of ideas and cultures across the world. It is more often used in synonymous with the term "modernity". Mostly, the patterns of this process was geared toward creating a "homogenous" standards of practices, and inculcation of ideas and values, short of a single world culture. Arguably, the inception of this vector could be traced back to the nascence

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